

2) Receive fixed income as a money lender to companies (Bonds)

Most companies need money to expand their operations. Expansions can be organic (build new factories, hire new people) and inorganic (complete an acquisition of another company). In the inorganic case, stock of the parent is offered to the company being acquired. But in a lot of cases, cash outright is the major driver of the deal (tech companies offer cash + stock to sweeten the deal. For instance Trello, Whatsapp acquisitions). To raise this cash, the parent company issues bonds. If we buy those bonds, they promise to pay us a fixed amount once (or twice) a year decided by a fixed interest rate. These bonds can also be held by banks who issue huge loans to finance these takeovers. The main reason for a company to issue bonds is to try and make profits well above the borrowing rate. When the interest rate of the bond is 8%, the company will hope to make a total gross profit of say, 15% (after tax and expenses). After honoring its debt, it will still be left with tidy net of 7%.

An interesting caveat is: if one calculates the return on investment, a bond may sometimes yield higher return than equity. If the company is not doing well, its share price will take a dent. But your fixed bond interest payment will give you better returns as compared to stock-ownership until the company reverses its balance sheet's bad status.

Now, unlike ownership of a company (shareholding), where your returns can fluctuate wildly, the income from a bond is fixed. It is certain we will get the payment *provided* the company is doing well. Fixed income is a lot more stable, but likely to be less rewarding.

What returns do Bonds generate? The interest from fixed income instruments tend to reflect current inflation levels declared by the government. And since the Government declares inflation at lower percentages as compared to personal expenses inflation, investing in bonds is like eating the corner crust of a pizza devoid of cheese or sauce on it. You can say, you've invested for the future but in-reality you've lost out.

Besides, any income from bonds will always be taxed as per your slab rate. Unlike capital gains (from equity) which are either tax free or taxed lower,